

research reports. Instead, they rely on their own intensive company investigations. “We don’t go in much for titles at our firm,” Ruane once said, “[but] if we did, my business card would read Bill Ruane, Research Analyst.”

Such thinking is unusual on Wall Street, he explained. “Typically, people start out their careers in an analyst function but aspire to get promoted to the more prestigious portfolio manager designation. To the contrary, we have always believed that if you are a long-term investor, the analyst function is paramount and the portfolio management follows naturally.”³⁴

How well has this unique approach served Sequoia’s shareholders? From 1971 through 2013 the Sequoia Fund earned an average annual return of 14.46 percent, compared to 10.65 percent for the Standard & Poor’s 500 index.

Like other focus portfolios, the Sequoia Fund achieved this above-average return with a slightly bumpier ride. The standard deviation of the market during this period was 16.1 percent compared to Sequoia’s 21.2 percent. Those who adhere to the modern portfolio theory definition of risk might conclude, as with the Munger Partnership, that Sequoia took on more risk to get its excess return. But those who recognized the care and diligence that embodied the Sequoia research effort would be hard-pressed to conclude its approach was risky.

Lou Simpson

About the time Warren Buffett began acquiring the stock of the GEICO insurance company in the late 1970s, he also made an acquisition that would have a direct effect on GEICO’s financial health. His name was Lou Simpson.

Simpson, who earned a master’s degree in economics from Princeton University, worked for both Stein Roe & Farnham and Western Asset Management before Buffett lured him to GEICO in 1979. Recalling the job interview, Buffett remembers that Lou had “the ideal temperament for investing.” He was an independent thinker who was confident of his own research and “who derived no particular pleasure from operating with or against the crowd.”³⁵